2. Loan Company

The main business of loan companies is lending. They provide car loans, mortgage loans, gold loans, etc.

3. Investment Company

Investment companies are the companies which invest in shares to acquire stake in other companies to earn profit and not for the purpose of trading. To qualify as investment companies, their main business should be investment and major part of the income should come from investment.

SEBI regulated NBFCs

1. Venture Capital Fund
2. Merchant Banking Company
3. Stock Broking Company

1. Venture Capital Fund

Usually the financial institutions are hesitant to finance new products because the profitability of new products is uncertain and involves risks. So, to finance such products, separate type of financial companies who venture to finance them are established. They are called venture capital companies. The venture capital companies provide capital to companies that produce new products based on innovations and to new industries.

2. Merchant Banker

Merchant bankers manage and underwrite new issues, provide consultancy and corporate advisory services for corporate clients on raising funds and other financial aspects. In India, merchant banking services are carried out by commercial banks. The merchant banks are